

MANUFACTURING

India's ambition to become a manufacturing hub is yet to fructify. But on-ground efforts by several

▶ LAND, LABOUR, CAPITAL

and entrepreneurship. These are the four factors of production taught in a basic economic theory class. But reality is far different, and India is a prime case study.

Despite being one of the largest economies, the seventh-largest in the world with a total area of 3.287 million square kms and having some of the top industry leaders and a labour force of over 610 million, manufacturing in the country is yet to pick up pace. Successive governments have tried to increase the share of manufacturing in the GDP to 25%. It remains around 16%.

As *BT* highlighted in an earlier edition, the economy continues to rely heavily on imports, and the West Asia crisis has again shown the need for greater self-reliance and ramping up manufacturing.

Prime Minister Narendra Modi, in his Independence Day speech, also said that India needs to significantly advance the manufacturing sector and make everything from small components to large-scale products. "The entire value chain should be ours and we should move ahead with it. From design to manufacturing, India must emerge as a trusted hub in the global supply chain," he underlined.

SCALING UP

Policymakers and economists remain concerned about manufacturing not taking off in a big way despite efforts ranging from liberalisation of foreign investment

INDIA'S STRATEGY

Governments have tried to take the share of manufacturing to 25% of GDP; the share is low but certain states, sectors and companies are showing traction

PM Narendra Modi has made manufacturing part of the *Sapta Dharma*, to be done in the next 5-7 years

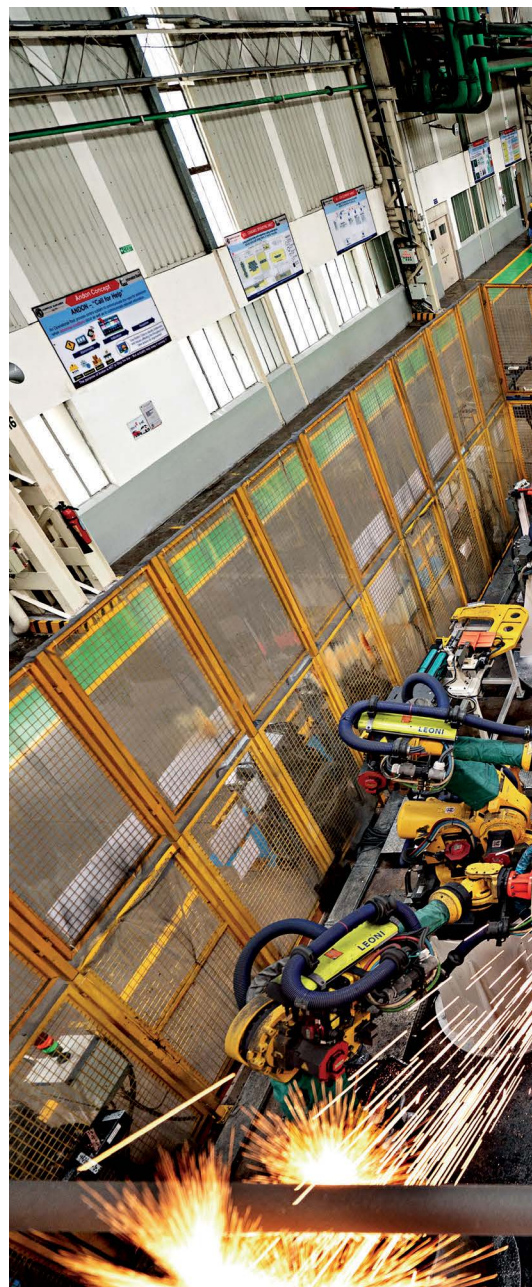
Measures include fiscal incentives, infrastructure creation, *Make in India* initiatives, PLIs and deregulation

More exports, domestic demand, *China+1* strategy, reforms can scale up manufacturing

This could power India's next growth phase and lead to more investments

norms, a competitive corporate tax rate, deregulation and decriminalisation of minor offences to lowering of compliance burden and labour reforms.

Rakesh Mohan, Part Time Member of the EAC-PM and former Deputy Governor, Reserve Bank of India, who was closely associated with the 1991 economic reforms, finds it puzzling that the share of manufacturing in India's GDP has not increased in the last 35 years. "Development experience and history demonstrate that, in this period of development, the share of manufacturing should have grown



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